HARBOR ASSET MANAGEMENT

January 20, 2026

Dear Partners,

Harbor Credit Opportunities Fund returned **1.70%** net in the fourth quarter of 2025, bringing full-year performance to 7.9% net. Returns were driven by carry in our senior secured loan book and by two restructurings that closed ahead of schedule.

Period	Net return
October 2025	0.58%
November 2025	0.62%
December 2025	0.49%
Q4 2025	**1.70%**

Positioning. Portfolio duration remains short at roughly 1.3 years, as most of the book is floating rate. We see limited exposure to a further move in long-end yields, though slower rate cuts would keep coupon income elevated. Default rates in our universe ticked up to 3.1%, and we have been avoiding cov-lite deals in software and healthcare services.

Outlook. We expect 2026 to offer better entry points in stressed credit as maturity walls approach. Dry powder stands at 14% of NAV.

Fund AUM at quarter end was $905 million. Liquidity: quarterly redemptions with 90 days' notice.

Sincerely,
Dana Whitlock
Chief Investment Officer

Fictional fund and people for demonstration purposes.